Funeral
Assurance Report

for the Half-Year Ended 30 June 2023

Disclaimer

i. This report, including any enclosures and attachments, has been prepared by the Insurance and Pensions Commission (IPEC), solely for informative purposes to the insurance sector stakeholders. The report may not be reproduced, redistributed, communicated to a third party, or relied upon by any other person for any other purpose without the Commission's prior written consent. The Commission does not accept any liability if this report is used for any other purposes other than the above-mentioned intended purpose.

ii. This report relates to the Funeral Assurance business written by Funeral Assurers only and does not relate to the Funeral Assurance business written by Life Assurers. The Funeral Assurance business generated by Life Assurers is reported in the life assurance report.

iii. Growth referred to in this report is nominal growth unless stated otherwise.

iv. Please Note: All Monetary Figures are in ZW$ except stated otherwise.

v. Income statement figures were adjusted using year-on-year inflation of 175.75% reported for June 2023. Source: https://www.rbz.co.zw/index.php/research/markets/inflation

vi. Balance sheet figures were not adjusted due to the unavailability of quarterly inflation figures. Therefore, balance sheet figures are compared on a nominal basis.

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Abbreviations

GPW	Gross Premium Written
NPW	Net Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirement
PA	Prescribed Assets/Securities as defined by the Insurance Act [Chapter 24:07]
S.I.	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrating Capital and Risk Programme

Definition of Terms

Absolute ZW$ GPW/Business	Business written solely in local currency.
Consolidated ZW$ GPW/Business	Total business written combining the absolute local currency business and foreign currency denominated business.

SECTION A:
EXECUTIVE SUMMARY

1. Executive Summary

1.1 For the half year ended 30 June 2023, the number of registered and operating dedicated funeral assurance companies stood at eight (8).

1.2 The nominal consolidated Gross Premium Written by the Funeral Assurance sector for the half year under review amounted to ZW$8.83 billion, an increase of 444.44% from ZW$1.62 billion recorded for the half year ended 30 June 2022.

1.3 The inflation-adjusted Gross Premium Written increased by 97.44% from ZW$1.62 billion to ZW$3.20 billion for the period under review.

1.4 The absolute local currency GPW was ZW$5.30 billion, which was approximately 60.04% of the consolidated GPW. The remaining 39.96% was foreign currency denominated business.

1.5 For the foreign currency business, the sector recorded total gross premium amounting to US$1.16 million and ZAR 0.39 million.

1.6 As at 30 June 2023, seven (7) out of the eight (8) Funeral Assurers were compliant with the Minimum Capital Requirement (MCR) of ZW$62.50 million, as prescribed in Statutory Instrument 59 of 2020.

1.7 Total assets for the Funeral Assurance sector increased by 199.38% from ZW$8.36 billion as at 31 March 2023 to ZW$25.02 billion as at 30 June 2023. The increase in the asset base was partly due to inflation-driven revaluation gains on asset values.

1.8 As at 30 June 2023, all Funeral Assurers were non-compliant with the minimum Prescribed Asset ratio requirement of 10% as stipulated by Statutory Instrument 206 of 2019 with a sector average Prescribed Asset ratio of 0.07%. The Commission is concerned by the continued non-compliance with prescribed asset ratio requirements. Only one (1) entity submitted its compliance roadmap, which was approved, and the remaining seven (7) players are yet to develop and submit roadmaps in line with SI 206 of 2019. The Commission will be escalating regulatory measures to cause compliance.

1.9 The total amount invested by the sector in Prescribed Assets was only ZW$17.23 million against the required minimum amount of ZW$2.50 billion to comply with the minimum Prescribed Asset threshold of 10%.

1.10 Total technical liabilities for the sector increased by 251.65% in nominal terms from ZW$2.67 billion as at 31 March 2023 to ZW$9.39 billion as at 30 June 2023, with future policyholders' benefits being the major component, constituting 99.76%.

1.11 Profit before tax for the sector increased by 1,525.69% in nominal terms from ZW$265.39 million for the half year ended 30 June 2022 to ZW$4.31 billion during the period under review. After adjusting for inflation, the profit before tax increased by 489.55% from ZW$265.39 million to ZW$1.56 billion over the same period. The notable increase was due to premium reviews in response to macroeconomic volatilities experienced across the economy.

1.12 Two (2) players, namely Moonlight and First Funeral dominated the Funeral Assurance sector in terms of GPW, with a total market share of 83.69%. The remaining six (6) entities accounted for the difference of 16.31%.

1.13 None of the eight (8) Funeral Assurers had reassurance arrangements in place during the period under review.

SECTION B:
ABOUT THE COMMISSION

2. Introduction

2.1 The Insurance and Pensions Commission (IPEC) is a Statutory Body, mandated with regulating, supervising, and developing the Insurance and Pensions Industry for the protection of policyholders and pension scheme members in Zimbabwe.

2.2 This report outlines the Funeral Assurance sector developments and IPEC's various activities in the sector consistent with its statutory mandate during the half year ended 30 June 2023.

3. Terms of Reference

The activities of the Commission are guided by the following Acts and their Regulations:

3.1 Insurance and Pensions Commission Act [Chapter 24:21];
3.2 Pension and Provident Funds Act [Chapter 24:32];
3.3 Insurance Act [Chapter 24:07];
3.4 Money Laundering and Proceeds of Crime Act [Chapter 09:24];
3.5 Finance Act [Chapter 23:04];
3.6 Public Entities and Corporate Governance Act [Chapter 10:31];
3.7 Public Finance Management Act [Chapter 22:19]; and
3.8 Public Procurement and Disposal of Public Assets Act [Chapter 22:23]

SECTION C:
ECONOMIC DEVELOPMENTS

4 Economic Overview

4.1 Global and Regional Economic Outlook

The IMF projects global economic growth of 2.8% in 2023, which is lower than previously projected, due to the developed world's adverse economic conditions as a result of geopolitical tensions, elevated debt levels, and the impact of tight monetary policies. The advanced economies are expected to grow by 1.3%, with the United States growing by 1.6%, the United Kingdom growing by 0.3%, and the European Union growing by 0.8%, while China and India are expected to grow by 5.2% and 5.9%, respectively.

The Sub-Saharan Region is expected to grow at 3.6% in 2023, with Nigeria, South Africa, and Ethiopia expected to grow at 3.2%, 0.1%, and 6.1%, respectively, due to the ongoing impact of global shocks and increases in global financial lending rates.

4.2 Domestic Economic Outlook

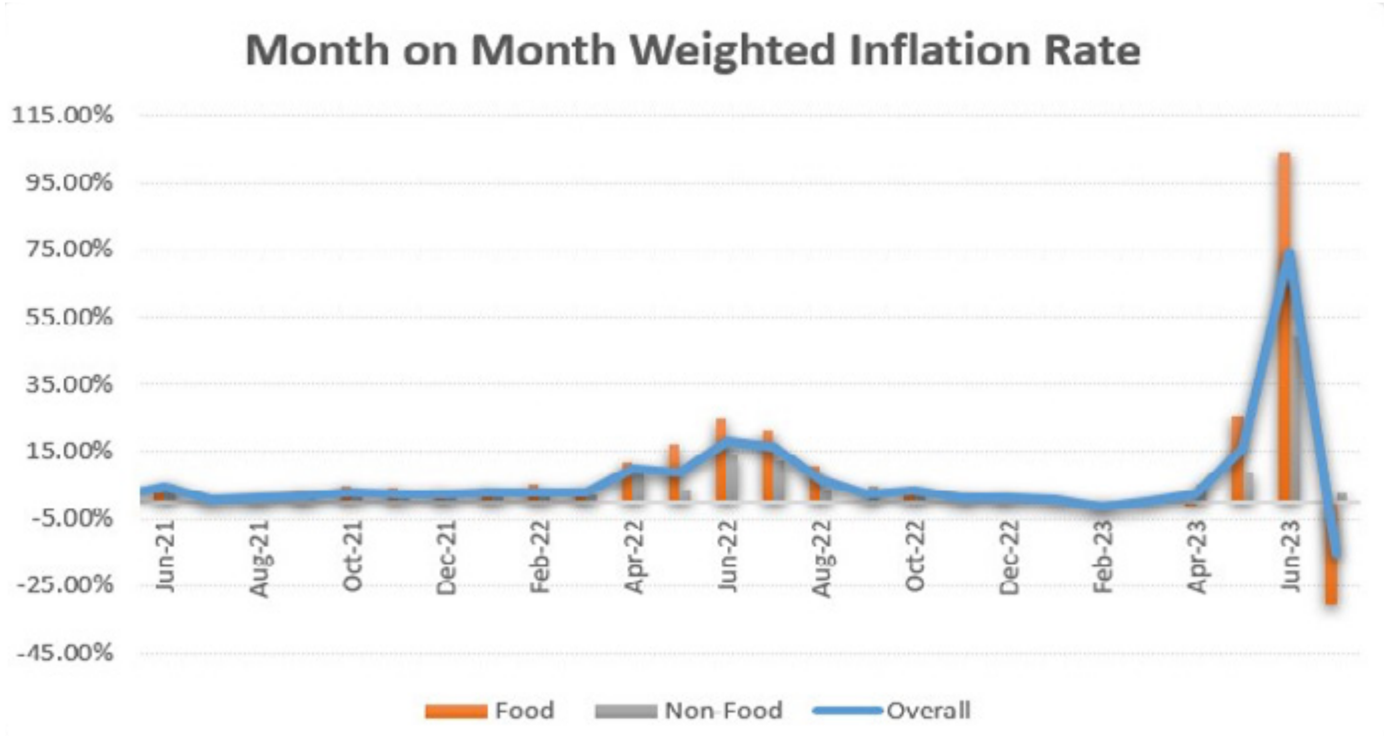
With respect to the domestic economy, growth is now projected at 5.3% in 2023. ZIMSTAT estimates economic growth during the first quarter of 2023 at 6.2% and 6.5% for the year 2022. Such growth rates put Zimbabwe among the fastest growing economies in Africa.

4.3 Inflation Developments

Weighted annual inflation was generally slowing down throughout the year until May 2023, when prices increased significantly in June to 175.8%. However, prices have begun to fall, with month-on-month inflation for July standing at -15.3%, while year-on-year growth has slowed to 101.3%.

Inflation is expected to slow further in response to a slew of measures implemented by the government in May and June 2023 to instil confidence, boost demand for the local currency, and promote market discipline.

Figure 1: Inflation Profile (%) June 2021 to June 2023



Source: RBZ

4.5 **Stock Market Development**

The Zimbabwe Stock Exchange (ZSE) was characterized by high speculative tendencies during the first half of 2023, as investors sought safe haven in some selected stocks with strong balance sheets, in line with limited investment options on the money market. As a result, all of the major indices gained, with the ZSE All Share, Top 10, Medium Cap, and Small Cap indices gaining 779.30%, 655.69%, 1,090.87%, and 322.81%, respectively, to close at 171,408.90 points, 93,034.57 points, 436,363.92 points, and 1,911,327.14 points, up from 19,493.85 points, 12,311.13 points, 36,642.44 points, and 452.

4.5 **Victoria Falls Stock Exchange Market**

During the period under review, the Victoria Falls Stock Exchange (VFEX) was characterized by bearish sentiments. As a result, the VFEX All Share index fell 30.56% in the second half of 2023, closing at 76.17 points, down from 109.69 points in December 2022. The VFEX All Share index fell 33.99% year on year, from 115.39 points in June of last year.

SECTION D:
PERFORMANCE OF FUNERAL ASSURANCE COMPANIES

5. Performance in Terms of Business Written

5.1. The Funeral Assurance sector recorded nominal consolidated Gross Premium Written of ZW$8.83 billion for the half year ended 30 June 2023, an increase of 444.44% from ZW$1.62 billion reported for the half year ended 30 June 2022.

5.2. After adjusting for inflation, the sector's GPW increased by 97.44% from ZW$1.62 billion to ZW$3.20 billion during the period under review.

5.3. The absolute local currency GPW was ZW$5.30 billion, which was approximately 60.04% of the consolidated GPW. The remaining 39.96% was foreign currency denominated business.

5.4. For the foreign currency denominated business, the sector recorded total gross premium amounting to US$1.16 million and ZAR0.39 million. United States dollar denominated business increased by 777.08% from US$0.13 million while the South African Rand denominated GPW increased by 227.51% from ZAR0.12 million recorded during the comparable period in 2022.

5.5. For the half year under review, new business contributed 3.68% of total GPW and the remaining 96.32% was from recurring business. The contribution of new business to the sector's GPW decreased by 0.12 percentage points from 3.80% in the first half of 2022 to 3.68%. The uptake of funeral assurance policies remains low as evidenced by a low contribution of new business to the total GPW.

5.6. GPW from new business increased by 427.97% from ZW$61.63 million in the first half of 2022 to ZW$325.37 million in the comparable period in 2023 while GPW from recurring business increased by 445.09% from ZW$1.56 billion recorded for the first half of 2022 to ZW$8.50 billion recorded during the current reporting period.

5.7. The increase in the consolidated GPW is primarily on account of premium reviews in line with inflation developments.

5.8. In nominal terms, all the eight (8) players recorded significant growth rates (above 100%) in GPW.

5.9. The funeral assurance GPW recorded by Life Assurers amounted to ZW$81.51 billion, which was approximately nine times more than the ZW$8.83 billion GPW recorded by the dedicated Funeral Assurers.

5.10. A detailed breakdown of the consolidated GPW per funeral assurer in terms of recurring and new business is shown in Appendix 4.

Table 2: Consolidated Gross Premium Written Per Company

Name of Company	June-22	June-23	June-23 Inflation Adjusted	Change - Inflation Adjusted	Nominal Change
First Funeral	373,616	2,339,600	848,444	127.09%	526.20%
Foundation	51,802	279,715	101,437	95.82%	439.97%
Moonlight	987,312	5,049,877	1,831,312	85.48%	411.48%
Orchid	2,738	3,812	1,383	-49.51%	39.23%
Passion	64,725	279,532	101,371	56.62%	331.88%
Ruvimbo	32,452	109,193	39,598	22.02%	236.48%
Sunset	10,681	175,861	63,775	497.09%	1546.48%
Vineyard	98,463	592,036	214,699	118.05%	501.28%
Total	**1,621,789**	**8,829,627**	**3,202,019**	**97.44%**	**444.44%**

6. Capitalisation

6.1. As at 30 June 2023, seven (7) out of the eight (8) funeral assurers were compliant with the regulatory Minimum Capital Requirement (MCR) of ZW$62.50 million as required by Statutory Instrument 59 of 2020.

6.2. Regulatory action is being taken on the non-compliant entity.

6.3. The average compliance level with the minimum capital requirement remained at 87.50% when compared to June 2022 compliance level.

6.4. As at 30 June 2023, capital positions for individual funeral assurers ranged from ZW$5.25 million to ZW$6.50 billion as shown in Table 3 below. The movements in capital positions per entity are mainly attributed to inflation-driven revaluation gains on the sector's assets.

Table 3: Capitalisation Trend Levels

Name of Company	June-22 (ZW$000)	June-23 (ZW$000)
First Funeral	519,760	1,200,271
Foundation	267,261	951,514
Moonlight	456,550	6,497,745
Orchid	5,287	5,249
Passion	87,989	233,212
Ruvimbo	120,634	465,302
Sunset	99,929	120,301
Vineyard	172,500	800,116
Total	**1,729,910**	**10,273,710**

Key

(green)	Capitalised
(red)	Undercapitalised

6.5. All players are required to be fully capitalised at all times. The sector is also required to adequately prepare for the implementation of the new risk-based capital regime, the Zimbabwe Integrating Capital & Risk Programme (ZICARP). Gazetting of the requisite regulations is work in progress.

6.6. To foster resilience of the industry, the Commission is engaging the Ministry of Finance and Economic Development on the draft regulations for United States Dollar indexed Minimum Capital Requirements.

7. Asset Quality

7.1. Total assets for the Funeral Assurance sector increased by 199.38% from ZW$8.36 billion as at 31 March 2023 to ZW$25.02 billion as at 30 June 2023.

7.2. The asset base for the sector remained highly concentrated in operational properties, which constituted 63.98% of the total assets as at 30 June 2023. While the funeral assurers need to invest in assets that enable the expunge of policyholder claims, it is important for the sector players to diversify their investment portfolios in line with the statutory investment limits. This is important due to the need to uphold the choice of the policyholder at the claim stage, on whether they choose to be paid cash or to be provided with funeral services as enshrined in section 58(3)(a) of the Insurance Act [Chapter 24:07] and the Funeral Model Directive.

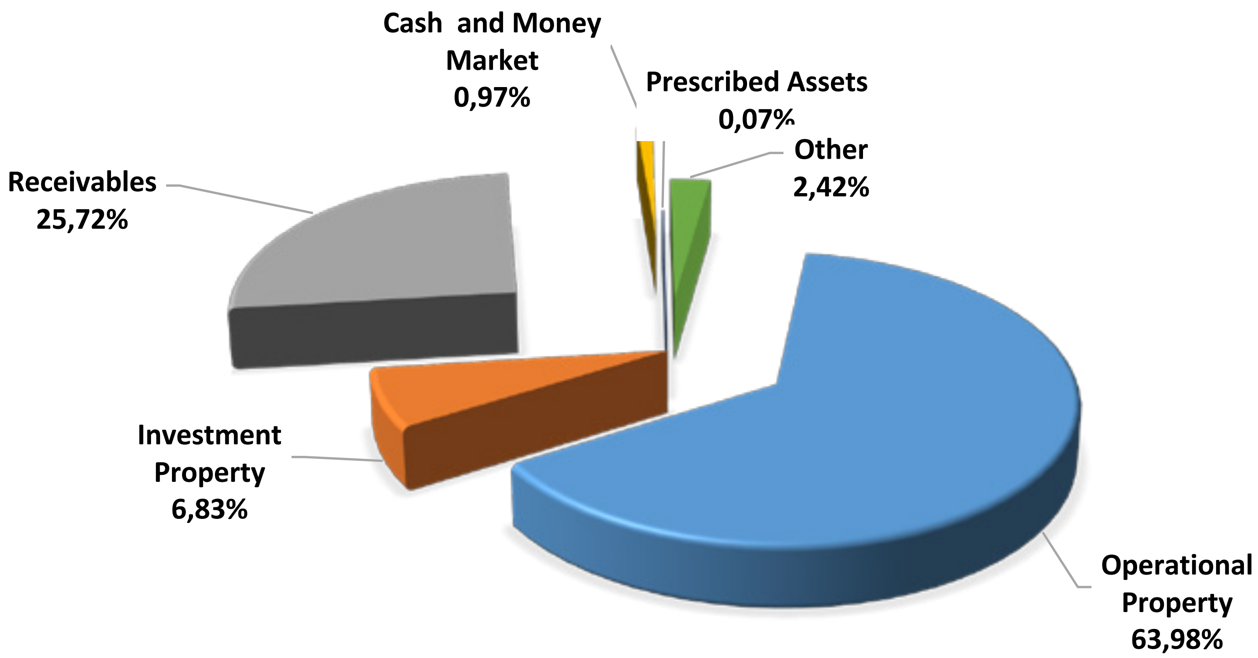
7.3. The sector continues to hold investments in equities, cash, and money market instruments in very small proportions relative to the overall asset portfolio.

7.4. Furthermore, Funeral Assurance players are required to always adhere to the requirement of section 29 of the Insurance Act [Chapter 24:07] by making sure that Policyholders' and Shareholders' assets are kept separately.

7.5. Funeral assurance sector players are required to prioritise asset separation and to do it within the timelines stipulated in the Funeral Model Directive.

7.6. The distribution of assets for the Funeral Assurance sector is shown in Figure 4 below.

Figure 4: Breakdown of Assets as at 30 June 2023



7.7. All Funeral Assurers were non-compliant with the minimum Prescribed Asset ratio of 10%, as stipulated by Statutory Instrument 206 of 2019 and the average ratio for the sector was only 0.07% as at 30 June 2023.

7.8. The investment in prescribed assets was only ZW$17.23 million, which was lower than the required minimum of ZW$2.50 billion for the sector to be compliant with the 10% minimum threshold.

7.9. Non-compliant entities are required to submit compliance roadmaps. Only one entity submitted a roadmap which was subsequently approved, and the remaining seven (7) players are yet to develop and submit roadmaps in line with SI 206 of 2019. Measures to enforce compliance will be escalated by the Commission.

7.10. Compliance levels have remained low despite the introduction of more investment instruments such as Gold Coins, which have been accorded Prescribed Asset status.

7.11. The sector has also shunned the development of sector-specific projects for possible conferment of Prescribed Asset status by Treasury despite repeated calls by the Commission.

7.12. Table 4 below shows the compliance levels with Prescribed Assets for each Funeral Assurance player.

Table 4: Prescribed Assets (PA) Levels as at 30 June 2023

Company name	PA Investments (ZW$000)	Total Assets (ZW$000)	PA Ratio	Amount required to be compliant (ZW$000)	Variance in compliance
Orchid	-	10,462	0.00%	1,046	10.00%
First Funeral	-	1,631,989	0.00%	163,199	10.00%
Foundation	-	1,737,389	0.00%	173,739	10.00%
Moonlight	16,751	19,555,081	0.09%	1,955,508	9.91%
Passion	-	286,358	0.00%	28,636	10.00%
Ruvimbo	227	510,323	0.04%	51,032	9.96%
Sunset	-	132,454	0.00%	13,245	10.00%
Vineyard	250	1,156,307	0.02%	115,631	9.98%
Total	**17,228**	**25,020,363**	**0.07%**	**2,502,036**	**9.93%**

Table 5 below shows the key performance indicators for the Funeral Assurance sector.

Table 5: Key Performance Indicators

Key Performance Indicator	June-22	June-23	Change	June-23 Inflation Adjusted	Change - Inflation Adjusted
Total GPW (ZW$000)	1,621,789	8,829,627	444.44%	3,202,019	97.44%
Total Gross Claims (ZW$000)	333,554	1,862,483	458.38%	675,420	102.49%
Operating and Administration Expenses (ZW$000)	531,694	3,519,329	561.91%	1,276,267	140.04%
Commissions (ZW$000)	109,889	734,492	568.40%	266,360	142.39%
Total Costs (ZW$000)	975,136	6,116,304	527.23%	2,218,047	127.46%
Profit Before Tax (ZW$000)	**265,391**	**4,314,436**	**1525.69%**	**1,564,608**	**489.55%**
Ratio Analysis	**June-22**	**June-23**	**Change**		
Commission Ratio	6.78%	8.32%	22.79%		
Expense Ratio	32.78%	39.86%	21.58%		
Claims Ratio	20.57%	21.52%	4.63%		
Combined Ratio	60.13%	69.70%	15.92%		
	March-23	**June-23**	**Change**		
Total Assets (ZW$000)	8,357,396	25,020,363	199.38%		
Total Liabilities (ZW$000)	4,614,131	14,746,652	219.60%		
Current Assets (ZW$000)	1,885,181	7,279,055	286.12%		
Current Liabilities (ZW$000)	1,937,514	5,350,204	176.14%		
Capital (Net Assets- ZW$000)	3,743,265	10,273,710	174.46%		
Capital to Liability Ratio	81.13%	69.67%	-14.12%		
Prescribed Assets (ZW$000)	17,226	17,228	0.01%		
Prescribed Asset Ratio	0.21%	0.07%	-66.59%		

8. Reassurance

8.1. None of the eight (8) Funeral Assurers had reassurance arrangements in place for the half year ended 30 June 2023.

8.2. The Commission is concerned by the continued lack of reassurance arrangements despite several commitments by the Funeral Assurance players.

8.3. The sector is urged to consider reassurance as a prudent risk management practice in the event of catastrophes.

9. Technical Section

9.1. Total technical liabilities for the Funeral Assurance sector increased by 251.65% in nominal terms from ZW$2.67 billion as at 31 March 2023 to ZW$9.39 billion as at 30 June 2023. Future policyholders' benefits continue to be the major component, constituting 99.76% of the technical liabilities, while unearned premium, gross outstanding claims and incurred but not reported claims reserves accounted for a smaller portion of 0.24%.

9.2. The increase shows that Funeral Assurance Companies are increasing their reserves in line with the increase in the values of promised benefits.

9.3. Notwithstanding this, Funeral Assurers should approach reserving with prudence and the determination of their reserves should be actuarially driven to ensure that they are reflective of the various risks they are exposed to.

9.4. The Commission notes that the new Zimbabwe Mortality Tables which were launched in July 2023 will improve reserving and product pricing by the sector.

10. Earnings

10.1. For the half year under review, all the eight (8) Funeral Assurers reported positive profits before interest and tax.

10.2. The Funeral Assurance sector reported a nominal increase of 1,525.69% in profit before interest and tax from ZW$265.39 million for the half year ended 30 June 2022 to ZW$4.31 billion for the half year ended 30 June 2023.

10.3. The increase in profit before interest and tax was on account of a notable increase in nominal

GPW, as players reviewed premiums in line with the inflationary macroeconomic environment that prevailed during the quarter under review.

10.4. The Funeral Assurance sector's average gross expense ratio increased from 39.56% for the half year ended 30 June 2022 to 48.18% for the half year ended 30 June 2023. This implies that for every dollar worth of premium received, 48.18 cents were spent on commissions, operational and management expenses.

10.5. It is important for all sector players to continuously monitor their expenses so that they are sustainable.

10.6. The average claims and combined ratios stood at 21.52% and 69.70% respectively for the current reporting period. The average claims ratio increased from 20.57% and the combined ratio increased from 60.13% recorded in the comparative period in 2022.

10.7. A summary of the claims incurred, operating expenses, commissions, and total costs for each funeral assurer for the first half of 2023, is shown in Appendix A5.

11. Liquidity

11.1. The Funeral Assurance sector reported an average current ratio of 136.05%, indicating sufficient current assets to cover short-term contractual obligations and other current liabilities.

11.2. The Commission continues to urge the Funeral Assurers to endeavor to match their asset profiles with their liability profiles in terms of maturity and timing.

11.3. Asset-liability mismatch may result in players encountering liquidity problems.

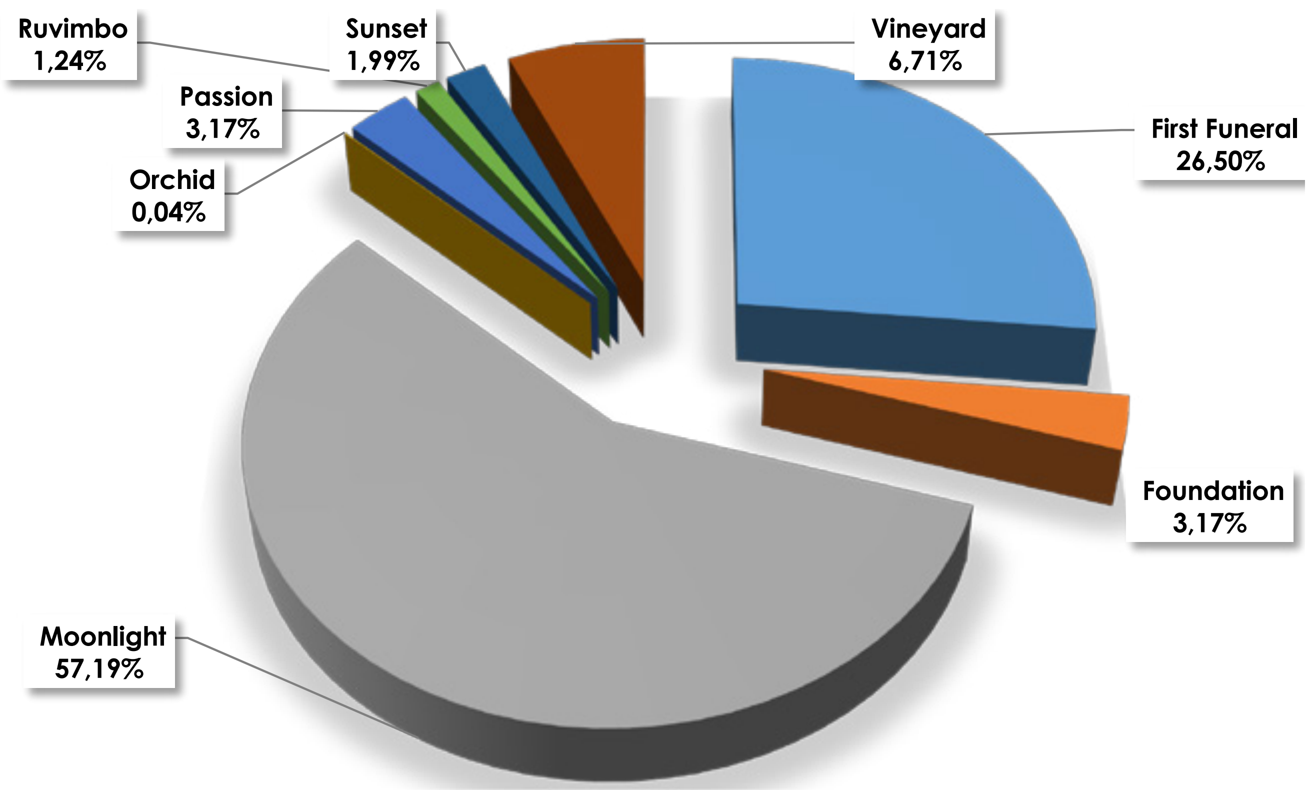
11.4. Funeral Assurers are encouraged to hold adequate and appropriate short–term assets that can easily be liquidated to meet statutory short-term debts, operational expenses, and claim obligations.

12. Market Share

12.1. For the half year ended 30 June 2023, two (2) players, dominated the Funeral Assurance sector in terms of consolidated GPW, with a total market share of 83.69%. The remaining six (6) funeral assurers accounted for the 16.31% difference.

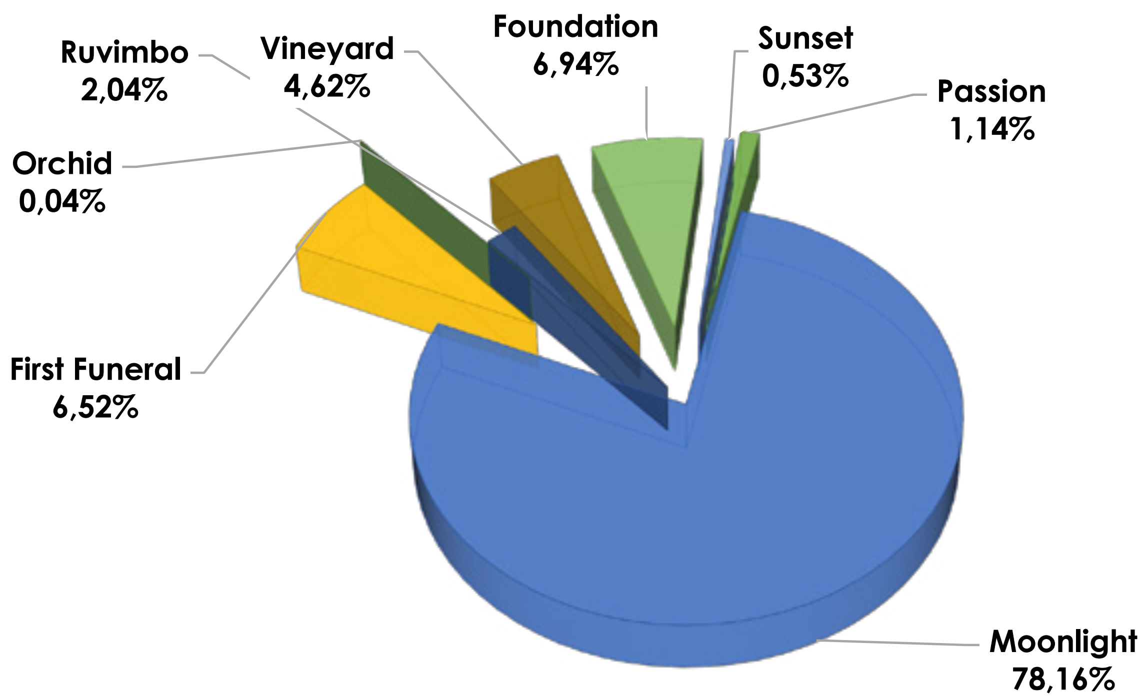
12.2. The distribution of the market share in terms of consolidated GPW for the eight (8) Funeral Assurers is shown in Figure 5 below.

Figure 5: Market Share in Terms of Consolidated GPW for the Half Year Ended 30 June 2023



12.3. In terms of assets, two (2) players dominated the sector with a total market share of 85.10%, whilst the remaining six (6) players constituted the remaining 14.90% as at 30 June 2023. This is shown in Figure 6 below.

Figure 6: Market Share in Terms of Assets as at 30 June 2023



SECTION E:
REGULATORY DEVELOPMENTS

13. Regulatory Developments for the Half Year Ended 30 June 2023

13.1. Statutory Instruments and Circulars

The following regulatory instruments were issued to the Insurance Industry during the first half of 2023 as shown in Table 6 below.

Table 6: Circulars Issued in 2023

Statutory Instrument (S.I)	Date Gazetted	Purpose
S.I. 103 of 2023	09/06/2023	Insurance and Pensions Commission (Levy) Regulations, 2023 – New US$-Indexed Levies.
S.I. 104 of 2023	09/06/2023	Insurance (Amendment) Regulations, 2023 (No. 26) – New US$-Indexed Fees.
Circular	**Date of Issue**	**Purpose**
Circular 3 of 2023	15/02/2023	Request for information on registered agents.
Circular 7 of 2023	16/04/2023	Amendments to the Directive on System of Governance and Risk Management for Insurance Companies.
Circular 9 of 2023	09/03/2023	Quarterly returns additional reporting requirements – submission of a US$ return, absolute ZW$ return and a combination of the two returns denominated in ZW$.

Circular 11 of 2023	16/03/2023	Guideline for Regulation of Offshore Investments.
Circular 13 of 2023	16/05/2023	IFRS 17 Quarterly Return Template.
Circular 17 of 2023	29/06/2023	Replacement of Circular 6 of 2016 on the Product Approval Framework and Premium Review Process.
Circular 18 of 2023	14/06/2023	Notification of Publication of the Insurance and Pensions (Levy) Regulations, 2023 and Insurance (Amendment) Regulations, 2023.
Circular 19 of 2023	23/06/2023	IFRS 17 Dry Run Financials as at 31 December 2022.
Circular 20 of 2023	27/06/2023	Separation of Pensions and Life Business.

13.2. IFRS 17

13.2.1 The funeral assurance players are expected to have started implementing the IFRS 17 Standard effective 1 January 2023.

13.2.2 Players should deploy the required resources to ensure that their financial statements are compliant with IFRS 17, starting from the first reporting date.

SECTION F:
COMPLAINTS HANDLING AND CONCLUSION

14. Funeral Assurance Sector Complaints

14.1. For the half year ended 30 June 2023, the Commission received one (1) funeral assurance-related complaint. This complaint had been resolved by the end of the reporting period.

14.2. The complaint was due to the unsatisfactory service offered by the funeral assurer in question.

15. Conclusion

15.1. Funeral Assurance sector players should be compliant with all applicable laws and regulations, particularly the Minimum Capital Requirements and Prescribed Asset ratios at all times.

15.2. The sector is urged to revisit its Business Model to align with the recently published Funeral Model Directive to ensure compliance and ward off increased competition from the Life Assurance sector.

15.3. The Commission also urges the sector players to always offer relevant products that address the needs of the insuring public by being customer centric.

15.4. Funeral Assurers should also have in place reassurance arrangements as a risk management tool to manage loss experiences.

15.5. The Commission underscores the importance of the timeous settlement of all valid claims.

SECTION G: Appendices

APPENDIX A1. KEY PERFOMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES

	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Perfomance Indicator									
Capital Adequacy									
Capital Position i.e Net Assets (ZW$000)	5,249	1,200,271	951,514	6,497,745	233,212	465,302	120,301	800,116	**10,273,710**
Capital Coverage Ratio (CCR)	8.40%	1920.43%	1522.42%	10396.39%	373.14%	744.48%	192.48%	1280.19%	**2054.74%**
Equity/Total Assets Ratio	50.17%	73.55%	54.77%	33.23%	81.44%	91.18%	90.82%	69.20%	**41.06%**
Solvency Margin	100.68%	385.57%	138.59%	78.75%	N/A	N/A	10068.92%	583.63%	**109.38%**
Asset Quality									
Total Assets (ZW$000)	10,462	1,631,989	1,737,389	19,555,081	286,358	510,323	132,454	1,156,307	**25,020,363**
Investments to Total Assets	28.67%	62.15%	7.39%	2.19%	0.46%	4.21%	72.99%	3.31%	**6.92%**
Non-Interest Generating Assets/Total Assets	70.16%	33.11%	91.87%	97.31%	92.91%	94.32%	22.51%	95.02%	**92.12%**
Fixed Assets/Total Assets	66.33%	13.00%	83.50%	67.66%	0.00%	87.32%	3.47%	56.86%	**63.98%**
Prescribed Assets Ratio	0.00%	0.00%	0.00%	0.09%	0.00%	0.04%	0.00%	0.02%	**0.07%**
Premium Debtors/Gross Premium	2.88%	13.74%	3.60%	113.64%	8.00%	27.38%	13.12%	48.83%	**72.87%**
Premium Debtors/Total Assets	1.05%	19.69%	0.58%	29.35%	7.81%	5.86%	17.42%	25.00%	**25.72%**
Reinsurance									
Risk Retention Ratio	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	**100.00%**
Technical Section									
UPR (ZW$000)	67	0	0	0	0	0	1,195	0	**1,261**
Gross Outstanding Claims (ZW$000)	0	15,600	0	5,680	0	0	0	0	**21,280**
Future Policyholder Benefits (ZW$000)	5,147	295,701	686,560	8,245,534	0	0	0	137,093	**9,370,035**
Total Assets/Total Reserves	200.68%	524.25%	253.06%	237.00%	N/A	N/A	11086.07%	843.45%	**266.38%**
Earnings									
Profit After Tax (ZW$000)	227	76,267	14,437	3,916,048	115,579	22,994	21,706	131,305	**4,298,563**
Return on Equity	4.32%	6.35%	1.52%	60.27%	49.56%	4.94%	18.04%	16.41%	**41.84%**
Return on Assets	2.17%	4.67%	0.83%	20.03%	40.36%	4.51%	16.39%	11.36%	**17.18%**
Loss(Claims) Ratio	3.03%	20.02%	7.18%	23.00%	28.00%	33.96%	9.03%	19.66%	**21.52%**
Net Commission Ratio	0.00%	16.10%	7.57%	5.62%	0.00%	0.00%	5.21%	7.37%	**8.32%**
Net Expense Ratio	91.01%	55.62%	90.88%	38.56%	0.00%	0.00%	2.45%	1.50%	**39.86%**
Combined Ratio	94.05%	91.73%	105.64%	67.18%	28.00%	33.96%	16.68%	28.54%	**69.70%**
Liquidity									
Current ratio	N/A	336.84%	159.50%	122.68%	536.33%	89.34%	271.66%	213.98%	**136.05%**
Liquid assets as a percentage of total assets	29.84%	4.74%	0.74%	0.50%	6.63%	1.47%	4.49%	1.68%	**0.97%**
Market Shares									
Market Share Based on GPW	0.04%	26.50%	3.17%	57.19%	3.17%	1.24%	1.99%	6.71%	**100.00%**
Market Share Based on NPW	0.04%	26.50%	3.17%	57.19%	3.17%	1.24%	1.99%	6.71%	**100.00%**
Market Share Based on Total Assets	0.04%	6.52%	6.94%	78.16%	1.14%	2.04%	0.53%	4.62%	**100.00%**

APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE HALF YEAR ENDED 30 JUN 2023 (ZW$000)

	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	3,812	2,339,600	279,715	5,049,877	279,532	109,193	175,861	592,036	**8,829,627**
Reinsurance Premiums	0	0	0	0	0	0	0	0	**0**
Net Written Premiums	**3,812**	**2,339,600**	**279,715**	**5,049,877**	**279,532**	**109,193**	**175,861**	**592,036**	**8,829,627**
Increase/(Decrease) in UPR	0	175,516	0	0	0	0	0	0	**175,516**
Net Earned Premiums	**3,812**	**2,164,084**	**279,715**	**5,049,877**	**279,532**	**109,193**	**175,861**	**592,036**	**8,654,111**
Provision for Future Claims	0	0	0	0	0	0	0	0	**0**
Outstanding claims	0	0	0	5,680	0	0	0	0	**5,680**
Paid Claims	116	433,191	20,088	1,155,792	78,269	37,082	15,873	116,394	**1,856,803**
Net Claims	**116**	**433,191**	**20,088**	**1,161,472**	**78,269**	**37,082**	**15,873**	**116,394**	**1,862,483**
Net Commissions and Fees	0	376,669	21,187	283,821	0	0	9,157	43,659	**734,492**
Technical Result	**3,697**	**1,354,224**	**238,440**	**3,604,585**	**201,263**	**72,112**	**150,831**	**431,984**	**6,057,136**
Operating/Adminstration Expenses	3,470	1,301,197	254,209	1,947,243	0	0	4,301	8,910	**3,519,329**
Underwriting Profit/(Loss)	**227**	**53,027**	**-15,768**	**1,657,342**	**201,263**	**72,112**	**146,531**	**423,074**	**2,537,807**
Management expenses	0	0	0	1,797,455	73,660	39,264	143,258	309,842	**2,363,478**
Investment Income	0	23,240	15,691	3,323	0	0	1,498	0	**43,753**
Unrealised Gains/Losses	0	0	0	0	0	0	0	0	**0**
Other expenses	0	0	0	98,030	12,027	0	32,837	0	**142,894**
Other Income	0	0	15,039	4,150,868	3	0	49,743	23,595	**4,239,249**
Profit Before Interest and Tax	**227**	**76,267**	**14,962**	**3,916,048**	**115,579**	**32,848**	**21,677**	**136,828**	**4,314,436**
Taxation	0	0	525	0	0	9,854	0	2,350	**12,729**
Interest Payments	0	0	0	0	0	0	-29	3,173	**3,144**
Profit After Tax and Interest	**227**	**76,267**	**14,437**	**3,916,048**	**115,579**	**22,994**	**21,706**	**131,305**	**4,298,563**
Other Comprehensive income	0	0	0	0	0	0	0	0	**0**
Transfer to policyholders funds	0	0	30,075	0	0	0	0	0	**30,075**
Retained Income	**227**	**76,267**	**-15,638**	**3,916,048**	**115,579**	**22,994**	**21,706**	**131,305**	**4,268,488**

APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 30 JUN 2023 (ZW$000)

	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
ASSETS									
Non-Current Assets									
Property and Equipment	6,940	212,116	1,450,666	13,231,761	1	445,608	4,594	657,502	**16,009,187**
Investment Property	0	1,014,222	128,313	410,628	640	21,265	96,680	37,620	**1,709,369**
Investments in Securities	0	42	0	0	673	0	2	390	**1,108**
Intercompany Investments	0	0	0	0	0	0	0	0	**0**
Prescribed Assets	0	0	0	16,751	0	227	0	250	**17,228**
Other Non-Current Assets	0	0	0	0	3	3,003	1,410	0	**4,416**
Total Non-Current Assets	**6,940**	**1,226,381**	**1,578,979**	**13,659,140**	**1,317**	**470,103**	**102,686**	**695,762**	**17,741,308**
Technical Assets									
Reinsurers' Share of O/S Claims	0	0	0	0	0	0	0	0	**0**
Deferred Acquisition Cost (DAC)	0	0	0	0	0	0	0	0	**0**
Total Technical Assets	0	0	0	0	0	0	0	0	**0**
Current Assets									
Cash & cash equivalents	122	77,294	12,881	98,368	18,994	7,478	5,952	19,377	**240,466**
Short Term Investments	3,000	30	0	0	0	0	0	0	**3,030**
Prescribed Assets	0	0	0	0	0	0	0	0	**0**
Inventory and Other Assets	291	6,900	135,451	59,022	243,684	2,849	740	152,081	**601,019**
Accounts Receivables	110	321,385	10,079	5,738,550	22,363	29,892	23,076	289,086	**6,434,541**
Total Liquid Assets	**3,122**	**77,324**	**12,881**	**98,368**	**18,994**	**7,478**	**5,952**	**19,377**	**243,496**
Total Assets	**10,462**	**1,631,989**	**1,737,389**	**19,555,081**	**286,358**	**510,323**	**132,454**	**1,156,307**	**25,020,363**
Liabilities									
Deferred Tax Liabilities	0	0	0	3,325,061	-100	0	0	77,117	**3,402,078**
Future policyholders benefits	5,147	295,701	686,560	8,245,534	0	0	0	137,093	**9,370,035**
Short term loans	0	0	0	1,292,761	0	0	0	0	**1,292,761**
Long term Loans	0	0	0	0	0	0	0	3,872	**3,872**
Current Tax provisions	0	0	0	0	0	25,359	0	0	**25,359**
Gross Outstanding Claims	0	15,600	0	5,680	0	0	0	0	**21,280**
IBNR	0	0	0	0	0	0	0	0	**0**
UPR	67	0	0	0	0	0	1,195	0	**1,261**
Creditors	0	120,416	99,315	58,646	0	18,490	7,374	105,537	**409,779**
Amount due to related companies	0	0	0	0	0	0	0	0	**0**
Other Liabilities	0	0	0	129,654	53,247	1,171	3,584	32,572	**220,228**
Total Technical Liabilities/Reserves	**5,213**	**311,301**	**686,560**	**8,251,214**	**0**	**0**	**1,195**	**137,093**	**9,392,576**
Current Liabilities	**0**	**120,416**	**99,315**	**4,806,122**	**53,147**	**45,020**	**10,958**	**215,226**	**5,350,204**
Total Liabilities	**5,213**	**431,718**	**785,875**	**13,057,336**	**53,147**	**45,020**	**12,153**	**356,190**	**14,746,652**
Shareholders's Equity									
Share Capital	14	411	0	1,500	2,000	930	352	211	**5,419**
Share Premium	1,334	1,610	0	0	0	0	0	978	**3,922**
Revaluation & Other Reserves	5,901	1,075,127	1,555,388	10,414,834	0	410,636	102,516	670,848	**14,235,250**
Retained Profit	-2,000	123,123	-603,874	-3,918,589	231,211	53,736	17,433	128,079	**-3,970,880**
Shareholders's Equity	**5,249**	**1,200,271**	**951,514**	**6,497,745**	**233,212**	**465,302**	**120,301**	**800,116**	**10,273,710**
TOTAL EQUITY & LIABILITIES	**10,462**	**1,631,989**	**1,737,389**	**19,555,081**	**286,358**	**510,323**	**132,454**	**1,156,307**	**25,020,363**

APPENDIX A4 GROSS WRITTEN PREMIUMS BREAKDOWN AS AT 30 JUN 2023

Name of Company	Individual Life (ZW$000)						Corporate Business (ZW$000)						Total Gross Premiums (ZW$000)				
	New Business			Recurring Premiums			New Business			Recurring Premiums							
	Jun-22	Jun-23	Change	Jun-22	Jun-23	Change	Jun-22	Jun-23	Change	Jun-22	Jun-23	Change	Jun-22	Jun-23	Change	Jun-2023 Inflation Adjusted	Change - Inflation Adjusted
First Funeral	156	2,220	1323.08%	149,506	731,935	389.57%	0	150	N/A	223,954	1,605,295	616.80%	373,616	2,339,600	526.20%	848,444	127.09%
Foundation	698	8,230	1079.88%	51,104	271,485	431.24%	0	0	N/A	0	0	N/A	51,802	279,715	439.97%	101,437	95.82%
Moonlight	35,622	205,698	477.45%	951,690	4,844,179	409.01%	0	0	N/A	0	0	N/A	987,312	5,049,877	411.48%	1,831,312	85.48%
Orchid	0	0	N/A	414	2,591	525.68%	0	0	N/A	2,324	1,222	-47.43%	2,738	3,812	39.23%	1,383	-49.51%
Passion	0	0	N/A	6,742	81,064	1102.42%	0	0	N/A	57,983	198,468	242.29%	64,725	279,532	331.88%	101,371	56.62%
Ruvimbo	9,736	32,758	236.48%	22,716	76,435	236.48%	0	0	N/A	0	0	N/A	32,452	109,193	236.48%	39,598	22.02%
Sunset	413	9,998	2319.41%	9,867	150,633	1426.57%	0	1,783	N/A	400	13,447	3258.87%	10,681	175,861	1546.48%	63,775	497.09%
Vineyard	931	14,209	1425.99%	12,513	74,597	496.13%	14,071	50,323	257.63%	70,947	452,908	538.37%	98,463	592,036	501.28%	214,699	118.05%
Total	**47,556**	**273,114**	**474.30%**	**1,204,554**	**6,232,919**	**417.45%**	**14,071**	**52,256**	**271.37%**	**355,608**	**2,271,339**	**538.72%**	**1,621,789**	**8,829,627**	**444.44%**	**3,202,019**	**97.44%**

APPENDIX A5 COST AND EARNINGS ANALYSIS FOR THE FUNERAL ASSURANCE INDUSTRY AS AT 30 JUN 2023																		
Co. Name	NPW (ZW$000)			Claims (ZW$000)			Commissions(ZW$000)			Management Expenses (ZW$000)			Total Costs(ZW$000)			Combined Ratio		
	Jun-22	Jun-23	Change	Jun-22	Jun-23	Change	Jun-22	Jun-23	Change	Jun-22	Jun-23	Change	Jun-22	Jun-23	Change	Jun-22	Jun-23	Change
First Funeral	373,616	2,339,600	526.20%	91,421	433,191	373.84%	88,189	376,669	327.12%	127,865	1,301,197	917.63%	307,476	2,111,057	586.58%	82.30%	91.73%	11.47%
Foundation	51,802	279,715	439.97%	3,027	20,088	563.63%	4,124	21,187	413.69%	48,296	254,209	426.35%	55,448	295,484	432.90%	107.04%	105.64%	-1.31%
Moonlight	987,312	5,049,877	411.48%	184,620	1,161,472	529.11%	12,789	283,821	2119.31%	319,552	1,947,243	509.37%	516,961	3,392,535	556.25%	52.36%	67.18%	28.30%
Orchid	2,738	3,812	39.23%	437	116	-73.53%	23	0	-100.00%	2,476	3,470	40.13%	2,935	3,585	22.14%	107.20%	94.05%	-12.27%
Passion	64,725	279,532	331.88%	20,065	78,269	290.08%	0	0	N/A	0	0	N/A	20,065	78,269	290.08%	31.00%	28.00%	-9.68%
Ruvimbo	32,452	109,193	236.48%	5,316	37,082	597.50%	0	0	N/A	22,363	0	-100.00%	27,680	37,082	33.97%	85.29%	33.96%	-60.19%
Sunset	10,681	175,861	1546.48%	1,120	15,873	1317.29%	832	9,157	1000.86%	1,643	4,301	161.72%	3,595	29,330	715.88%	33.66%	16.68%	-50.45%
Vineyard	98,463	592,036	501.28%	27,548	116,394	322.51%	3,932	43,659	1010.31%	9,497	8,910	-6.18%	40,977	168,962	312.33%	41.62%	28.54%	-31.42%
Total	**1,621,789**	**8,829,627**	**444.44%**	**333,554**	**1,862,483**	**458.38%**	**109,889**	**734,492**	**568.40%**	**531,694**	**3,519,329**	**561.91%**	**975,136**	**6,116,304**	**527.23%**	**60.13%**	**69.70%**	**15.92%**

Funeral
Assurance Report

for the Half-Year Ended 30 June 2023

Email: enquiry@ipec.co.zw Website: www.ipec.co.zw

Protecting The Interests Of Insurance And Pension Consumers